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MEADOWS, COLLIER, REED, COUSINS, CROUCH & UNGERMAN, L.L.P.
A REGISTERED LIMITED LIABILITY PARTNERSHIP INCLUDING PROFESSIONAL CORPORATIONS

901 MAIN STREET, SUITE 3700
DALLAS, TEXAS 75202
(214) 744-3700
www.meadowscollier.com

ERIC D. MARCHAND
ERIC D. MARCHAND, P.C.
Partner
emarchand@meadowscollier.com

BOARD CERTIFIED
Texas Board of Legal Specialization
ESTATE PLANNING AND PROBATE LAW

May 6, 2024

PERSONAL & CONFIDENTIAL

Mr. and Mrs. Rusty Alan Slaten
1213 Dame Susan Lane
Lewisville, Texas 75056

Re: Estate Planning Documents and Related Planning Matters.

Dear Rusty and Kristy:

The successful design and execution of your new Estate Plan is an important accomplishment. There are, however, some very important post-execution planning details that need to be completed to make sure that all of your tax and nontax planning objectives are fulfilled under your new Estate Plan. The purpose of this letter is to summarize these important additional planning matters.

A. **Document Related Matters**. Let's first review the procedures for the handling of your executed Estate Planning documents.

1. **Original Documents**. We are enclosing with this letter the originals of your new Estate Planning documents. The originals should be placed in a secure place.

2. **Personal File Copies**. We are also sending a PDF file by email containing copies of each executed Estate Planning document. This will provide you with a set of "at home" records for periodic review without the necessity of retrieving the original documents from safekeeping.

3. **Durable Powers of Attorney Matters**. You have designated each other as your respective agent to act on your behalf if you become permanently disabled. Your respective Powers of Attorney will become activated only upon the disability of a spouse, if at all. It is therefore unnecessary to file the original Powers of Attorney in the county deed records at this time.

YOU SHOULD CONTACT US IMMEDIATELY IF A SPOUSE BECOMES PERMANENTLY DISABLED. WE WILL AT SUCH TIME ADVISE YOU OF THE PROPER PROCEDURES TO ACTIVATE THE RESPECTIVE POWER OF ATTORNEY FOR THE DISABLED SPOUSE.

4. **Directives to Physicians, Medical Powers of Attorney, and HIPAA Releases**. It is unnecessary under Texas law to file any of these important representative documents with any state or county records. From a practical standpoint, however, it is necessary for the appropriate health care provider to be made aware of your respective representative powers under these documents. We are therefore enclosing two copies of each document. We recommend that you supply a copy of each document to your family physician and retain at least one copy of each document for possible reproduction and use in the future.

B. **Beneficiary Designations for Personally Owned Life Insurance Policies**. Life insurance proceeds are paid by the respective insurance company to the designated beneficiary and not those beneficiaries designated by your new Wills. We therefore need to immediately coordinate the beneficiary designation(s) on all life insurance policies of which you are the personal or individual owners. [Planning Note: The following procedures will not apply to any life insurance policies of which you are not the owners. However, the following procedures will apply to any new life insurance policies which you personally and individually may acquire in the future.]

You should immediately execute new beneficiary designations for each individually-owned life insurance policy to reflect the following beneficiary designation:

1. **Insurance on Rusty's Life**:

a. **Primary Beneficiary Designation**: Kristy Ann Slaten.

b. **Secondary Beneficiary Designation**: Secondary beneficiary designations should be changed to reflect the following language:

> "To the Trustee, and its successors, of the Slaten Family Trust, created by Trust Agreement dated April 16, 2024, to have and to hold pursuant to the terms and provisions of said Trust Agreement."

2. **Insurance on Kristy's Life**:

a. **Primary Beneficiary Designation**: Rusty Alan Slaten.

b. **Secondary Beneficiary Designation**: Secondary beneficiary designations should be changed to reflect the following language:

> "To the Trustee, and its successors, of the Slaten Family Trust, created by Trust Agreement dated April 16, 2024, to have and to hold pursuant to the terms and provisions of said Trust Agreement."

PLEASE CONTACT US IMMEDIATELY IF YOU NEED ASSISTANCE IN COMPLETING THIS IMPORTANT PROCESS.

C. **Beneficiary Designations for Retirement Plan Accounts**. Our federal laws contain a complex web of rules and regulations with respect to distributions from and the taxation of your retirement plan accounts, including for these purposes any pension/profit sharing accounts and IRAs. We recommend you take this opportunity to review your beneficiary designations on each such account to make sure that they comply with these Federal rules and will provide for tax preferred distributions following the participant's date of death.

1. **Primary Beneficiary Designation**. Federal laws regarding retirement accounts are designed to ensure postmortem economic benefits for a surviving spouse. As a general rule, a spouse must be designated as the primary beneficiary of the predeceasing spouse's interest in such accounts unless such spouse waives his or her rights in writing. Designating a spouse as the plan beneficiary may likewise produce more favorable Federal income tax results since the so-called "rollover rules" are applicable only to elections made by the surviving spouse.

We therefore recommend that you designate each other as the primary beneficiary on each retirement plan account. You should retrieve this account information as promptly as possible.

PLEASE CONTACT US IMMEDIATELY IF YOU NEED ASSISTANCE IN COORDINATING SUCH MATTERS.

2. **Secondary Beneficiary Designation**. Secondary beneficiary designations should be changed to reflect the following language:

> "To the Trustee, and its successors, of the Slaten Family Trust, created by Trust Agreement dated April 16, 2024, to have and to hold pursuant to the terms and provisions of said Trust Agreement."

3. **Retirement Plan Summary**. You should contact us immediately if you have any questions with respect to these important beneficiary designation matters. It is equally as important to review these beneficiary designation matters in the future when account distributions commence. At such time, you should contact us or your other planning advisors with respect to your options with regard to not only your distribution alternatives at such time, but the coordination with your new Estate Plan as well.

D. **When Should Your Estate Planning Documents Be Reviewed?** We have designed your Estate Planning documents to provide maximum flexibility to accommodate most changes in your family and financial situation. Unfortunately, it is impossible for us to contact every client with respect to all future tax or state law changes that affect your Estate Plan. Accordingly, we recommend that you periodically review your Estate Plan at least every three years at a minimum, particularly with respect to significant family and/or financial changes.

E. **Summary**. We sincerely appreciate your giving us the opportunity to work with you on these most important planning matters. You are a valued client, and we look forward to the opportunity to provide you with quality legal services in the future whenever the need arises.

Respectfully presented,

ERIC D. MARCHAND
Meadows, Collier, Reed, Cousins,
Crouch & Ungerman, L.L.P.

EDM:kf/551972
Enclosures